

ECO102: Introduction to Macroeconomics

Lecture 1: Measuring GDP & Economic Growth

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Outline

- ❑ What is GDP?
- ❑ GDP and the Circular Flow of Expenditure and Income
- ❑ Measuring GDP

What is GDP?

- GDP: *Gross Domestic Product*
- GDP is **the market value** of the **final goods and services** produced **within a country** in a **given time period**.

What is GDP?

- The definition of GDP, hence, has four key components:
 - **Market Value:** Goods and Services, valued at their market prices at which they were traded
 - **Final Goods and Services:** The values are calculated only for the final goods and services produced and traded and not for the intermediate goods and services
 - **Final Goods (or Service):** Items that are bought by its final user during a specified time period
 - **Intermediate Goods:** Items that are produced by one firm and bought by another firm, and used as a component of final good or service

What is GDP?

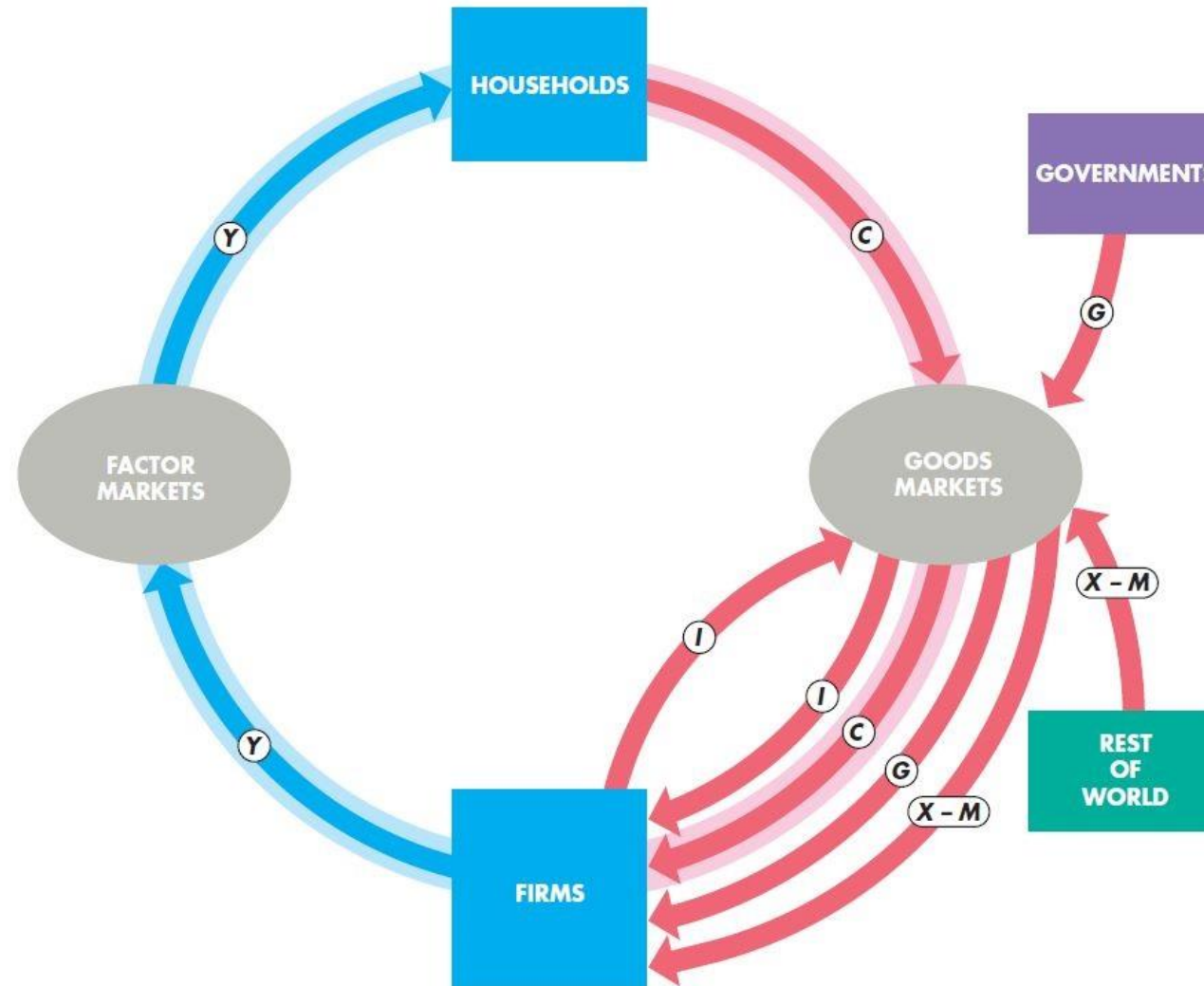
- **Produced Within a Country:** Only goods and services produced within the geographical border of a country are counted as a part of their GDP
- **In a Given Time Period:** GDP measures the value of production in a given time period; it is normally pre-determined
The time period can be either a quarter of a year (Quarterly GDP data) or a year (Annual GDP data).

GDP and the Circular Flow of Expenditure and Income

- The circular flow model is the foundational basis of the measurement of GDP
- This model charts out the flow of money and the interrelation between all the macroeconomic agents within the economy
- **GDP equals EXPENDITURE equals INCOME**

$$Y = C + I + G + (X - M)$$

GDP and the Circular Flow of Expenditure and Income



GDP and the Circular Flow of Expenditure and Income

- **Households & Firms:**

- Households sell and firms buy the services of labor, capital, and land in the factor markets
- Firms sell and households buy consumer goods and services in the goods market
- The total payment for these goods and services is **consumption expenditure**, labeled **C**
- Firms buy and sell new capital equipment, new plants, and buildings. The purchase of these new equipment, plants, buildings and the additions to inventories are **investment**, labeled **I**

GDP and the Circular Flow of Expenditure and Income

- **Governments:**

- Governments buy goods and services from firms and their expenditure on goods and services is called **government expenditure**, labeled ***G***
- Financial transfers, like taxes, social security benefits, unemployment benefits, and subsidies are not part of the circular flow of expenditure and income

GDP and the Circular Flow of Expenditure and Income

- **Rest of the World:**

- A country may decide to buy from and sell goods and services to other countries in the world
- Selling of these goods and services and called **exports**, labeled **X** ; and buying of these goods and services are called **imports**, labeled **M**
- The value of exports (X) minus the value of imports (M) is called net exports ($X - M$)

Measuring GDP

- The Expenditure Approach vs The Income Approach
- The expenditure approach measures GDP as the sum of consumption expenditure (C), investment (I), government expenditure on goods and services (G), and net exports of goods and services ($X - M$).
- The income approach measures GDP by summing the incomes that firms pay households for the services of the factors of production they hire; wages for labor, interest for capital, rent for land, and profit for entrepreneurship.

Question?

WHY IS IT “GROSS” DOMESTIC PRODUCT?